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March 15, 2025

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AI Action Plan

Introduction:

Mistral AI's unique position at the intersection of open source and cutting-edge AI, its global positioning — and private status — offers a singular perspective to inform the upcoming AI Action Plan.

As a company with a mission to put AI in everybody's hands through state-of-the-art generative AI models, products and solutions, Mistral AI hopes that this submission positively contributes to the policy discussion. We also hope it provides constructive input on how to foster innovation and ensure that AI benefits American society as a whole.

Given our mission and commitment to open-source technologies, we believe that openness – in both markets and technology – are key to achieving these objectives.

I. Promoting Open Markets & Open Innovation

The United States has consistently succeeded in being at the vanguard of technological development due to its commitment to open markets, open innovation, and barrierless access for entrepreneurs. The policy environment and business culture empower anyone, anywhere to take a brilliant idea and convert it into a viable business. Ultimately, the market decides who wins. This thriving ecosystem and level playing field has encouraged risk-taking and unlocked easy access to investment — enabling bold decisions by entrepreneurs. These conditions not only benefit individual

companies but also strengthen the overall technological landscape. Mistral AI exemplifies this same spirit of innovation and competition.

The tradition of the open market was historically made possible by a commitment to embracing innovation in the earliest days of Internet policy development. This prudent and prescient foundation ensured that the market was not unduly stifled — or cornered — by just a handful of actors. Reinforcing these shared principles is advisable in the age of AI, primarily to ensure that large market entrants do not leverage their market position to gain undue dominance and further concentrate power around their businesses — at the expense of innovation. A more decentralized approach will also help to unleash the next generation of companies that can unlock America’s full AI potential.

The Department of Justice (DOJ) and the Federal Trade Commission (FTC) have been crucial in maintaining competition and preventing monopolies from emerging. This work is commendable. As a smaller actor and an independent player with our first American office in Palo Alto, California, that seeks to grow, hire, and unlock value in the United States, Mistral AI supports all such efforts that promote and maintain America’s strong legacy of fierce, dynamic, and market-led competitiveness. Most importantly, we believe this approach also advances the public’s ability to choose from a range of AI-powered products and services — many of which we cannot even conceive of today. If the future AI sector looks the same as the traditional tech sector today — centralized and largely gate-kept by a handful of large market-dominant incumbents — it will likely inhibit the extraordinary and transformational power of AI in society.

To foster this innovation, access to data is highly strategic and constitutes a significant differentiator for companies aiming to offer the most performant models. Permissive regulations favorable to the transformative use of data by model developers promote a culture of innovation on the international stage. Data access restrictions reinforce the dominant position of a few actors with proprietary or first-party data, reducing both competition and the diversity of the content generated by the models.

We hope the Trump Administration continues its pro-market, pro-innovation, and pro-user approach in this regard — for the benefit of all Americans.

II. Placing Open Source at the Center of U.S. AI Development

At the technical level, at Mistral AI, we believe a decentralized — open source-led — approach to AI is immensely beneficial. Making AI accessible to the widest possible range of developers — including entrepreneurs, scientists, academics, and others — ensures that AI benefits society as a whole. Open-source models, like those developed by Mistral AI, allow for broader participation in AI research, leading to more robust, secure, and reliable systems. They also empower auditing, peer review, and security checks at a speed and scale that is unrivaled. Furthermore, widely available model weights can propel AI research further by enabling the widest possible set of actors to experiment, innovate, and build.

Many open foundation models are more advanced than most closed models developed. Crucially, they empower all American builders — regardless of their

background or formal education levels — to take existing models and develop on top of them. This meritocratic approach to technological development removes barriers to entry and ensures that the depth and breadth of innovation can exist right across the country — not just in the traditional hubs of entrepreneurship. It also unleashes people, open markets, and entrepreneurial culture fully to the task at hand: protecting innovation, contributing to national security, and empowering its best and brightest to build.

Lastly, we believe open-source approaches to AI development can lead to more security measures and proportionate guardrails. These technical approaches empower a broader range of actors to scrutinize and test models, helping to identify potential vulnerabilities and implement targeted safety training, testing, and patches. This approach also enhances cyber defense initiatives by allowing firms, researchers, and users to process sensitive data without relying on third-party proprietary models for processing. Open-source technology, too, can be accessed by a broad variety of communities, enabling a natural and expansive system of checks and balances. This collaborative approach fosters diverse perspectives, ensuring that AI is more representative and less susceptible to the influences of a select few.

III. Recommended Actions for the AI Action Plan

1. Supporting the development of SMBs and mid-caps

Implementing rules that support the development of SMBs, and mid-caps is crucial for fostering a more competitive and innovative AI market. This is especially important in the generative AI industry, which requires extraordinary amounts of capital across the entire value chain. Developing rules and standards tailored to smaller companies and promoting programs that favor their growth will be key to ensure the durability of many actors in the market.

Indeed, for many players, even those who have successfully raised significant funds, the resource gap— compared to established incumbents remains substantial. This disparity makes it challenging for them to solidify their position in a market that demands long-term investment and vision. In particular, simplifying AI procurement processes to enable smaller players to compete would be a positive step in opening new markets to these companies. Furthermore, many SMBs will also require training and other resources to ensure they can quickly and efficiently adopt AI.

Mistral AI, with its operations and partnerships in the U.S., is deeply committed to supporting the homegrown American development ecosystem.

2. Enhancing global chip mobility and inference capabilities

Investing in the development and trade of chips is essential for advancing AI capabilities and ensuring that the U.S. remains at the forefront of technological innovation. Export controls can have unintended consequences. These controls can also move innovation to other competing territories, as companies seek to avoid restrictions by developing technologies in more permissive environments. Therefore, the AI Action Plan should consider striking a balance that protects national security

without stifling innovation and economic growth in the U.S. Furthermore, imposing strong tariffs on AI models could hinder the development of new models from abroad that the U.S. can capitalize upon for the creation of new development, new jobs, and growth at home.

3. Avoiding a fragmented U.S. regulatory environment:

Deregulation at the federal level could inadvertently trigger a regulatory backlash at the state level, especially from states like California, Colorado, and Connecticut, which have historically been proactive in enacting their own regulations to address perceived federal shortcomings. This could lead to a fragmented regulation throughout the U.S, and eventually create barriers for innovation and harm the growth of AI technologies. Specifically, a patchwork of state-level approaches can lead to high compliance costs for new entrants, challenge expansion potential, and harm cross-state commerce. It can often reinforce the dominance of the biggest companies who can incur the costs, inadvertently undermining an open, competitive marketplace. More than the regulation itself, it is its fragmentation within the 27 member states of the European Union that makes it difficult to manage in terms of compliance and legal certainty — not to mention the administrative costs and investment hurdles cited above. Therefore, prioritizing, if necessary, federal-level regulation would ensure a more streamlined and predictable regulatory environment, fostering innovation and economic growth.

4. Encouraging international cooperation for a pro-innovation governance:

To ensure that the U.S. remains at the forefront of AI innovation, the government should consider targeted international cooperation, as warranted. This approach will not only drive global innovation in conjunction with like-minded partners, but it will also ensure that AI development is turbocharged in these regions. National security interests, for example, should be protected, but we believe technological partnership between the U.S. and the rest of the world — including the EU — can be mutually beneficial, particularly with early-stage tech like AI. More importantly, we believe that sharing models and empowering development across markets ultimately bolsters competition, improves security, and unlocks a thriving marketplace for investment and entrepreneurship.

Conclusion

Mistral AI is committed to the growth of our U.S. operations and serving American customers, and we commend the administration on their open feedback process. We are committed to using our technology to further empower American entrepreneurship and to contribute to a thriving AI ecosystem in the U.S. We believe our mission to be an open-source leader aligns with the Trump Administration's goals — and the fundamental strengths of America's historical policies promoting open competition, open markets, and open innovation.

About Mistral AI:

Mistral AI is a pioneer company in generative artificial intelligence, empowering the world with the tools to build and benefit from the most transformative technology of our time. The company democratizes AI through high-performance, optimized, and cutting-edge open-source models, products and solutions. Headquartered in France and independent, Mistral AI defends a decentralized and transparent approach to technology, with a strong global presence in the United States, United Kingdom, and Singapore.